China Mobile Limited -- Maintain OUTPERFORM

9M16: a solid 'beat' on EBITDA and net profit versus consensus expectations

EPS: ◄► TP: ◄►

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- 9M16 result snap reaction: a 'beat' on EBITDA and net profit. 9M16 service revenue Rmb481.2 bn, up 6.9% YoY; EBITDA Rmb200.4 bn, up 4.2% YoY, net profit Rmb88.1 bn, up 3.1% YoY.
- 9M16 service revenue grew 6.9% YoY, slightly below our estimate, but still on track to comfortably beat consensus FY16 expectations given 4Q15's data rollover. We see this as further evidence that China Mobile is 'monetising' 4G subscriber base and offsetting the drag from long distance and roaming charges.
- The EBITDA trajectory was affected by the sale of China Mobile's tower assets in October 2015, but 9M16 EBITDA still grew 4.2% YoY as other costs remained well-controlled, and net profit grew 3.1% YoY; well ahead of consensus.
- China Mobile has already achieved 73.5%, 75.0% and 77.0% of our (above consensus) FY16 service revenue, EBITDA and net profit forecasts. With rising revenue and EBITDA, and declining capex, cash flows are expanding. OUTPERFORM rating and HK$123.50 target price maintained. China Mobile is a CS AxJ Focus List stock.

Bbg/RIC	**941 HK / 0941.HK**	**Price (20 Oct 16 , HK$)**			**92.00**	
Rating (prev. rating)	**O (O)**	**TP (prev. TP HK$)**			**123.50 (123.50)**	
Shares outstanding (mn)	20,475	Est. pot. % chg. to TP			34	
Daily trad vol - 6m avg (mn)	14.1	52-wk range (HK$)			99.0 - 79.7	
Daily trad val - 6m avg (US$ mn)	166.5	Mkt cap (HK$/US$ bn)			1,883.7/ 242.8	
Free float (%)	25.7	**Performance**	**1M**	**3M**	**12M**	
Major shareholders	China Mobile Comm Corp (74.24%)	Absolute (%)	(3.5)	(4.7)	(3.9)	
		Relative (%)	(3.4)	(14.0)	(3.7)	

Year	**12/14A**	**12/15A**	**12/16E**	**12/17E**	**12/18E**
Revenue (Rmb mn)	641,448	668,335	738,745	779,240	804,363
EBITDA (Rmb mn)	235,259	247,368	267,233	287,031	304,280
Net profit (Rmb mn)	109,279	108,539	114,480	123,814	133,596
EPS (CS adj. Rmb)	5.38	5.30	5.59	6.05	6.53
- Change from prev. EPS (%)	n.a.	n.a.	0	0	0
- Consensus EPS (Rmb)	n.a.	n.a.	5.25	5.70	6.15
EPS growth (%)	(11.1)	(1.5)	5.5	8.2	7.9
P/E (x)	14.8	15.1	14.3	13.2	12.2
Dividend yield (%)	2.9	2.7	3.0	3.8	4.9
EV/EBITDA (x)	5.2	4.9	4.5	4.1	3.6
P/B (x)	1.9	1.8	1.7	1.6	1.5
ROE (%)	13.3	12.2	12.1	12.2	12.5
Net debt(cash)/equity (%)	(48.4)	(45.3)	(43.9)	(45.0)	(48.2)

Note 1: ORD/ADR=5.00. Note 2: China Mobile Limited is the leading cellular service provider in China.

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9M16 service revenue grew by 6.9% YoY…

China Mobile has reported 3Q16 and 9M16 Key Performance Indicators (KPIs). Focusing first on 3Q16, service revenue (which we view as the more important figure) fell 10.4% QoQ but grew 3.4% YoY. Operating revenue, which includes sale of handsets, fell 10.6% QoQ and rose 0.2% YoY. This is weaker service revenue result than we had anticipated, in part due to seasonality and in part due to China Mobile's gradual abolition of inter-provincial roaming charges. However, the YoY growth rate still looks reasonable versus regional and global telecoms peers.

Indeed, while China Mobile's embryonic fixed line division will also have contributed to some extent, the YoY service revenue growth offers further proof that China Mobile is doing a relatively good job of monetising wireless data; there are no unlimited data plans in China and we calculate that the ARPU uplift as customers shift onto 4G and consume more data is meaningful, at circa 35%. Thus overall service revenue still grew 6.9% YoY in 9M16 as a whole despite the impact of roaming charge abolition on voice revenue. This level of YoY growth in service revenue also stands in stark contrast to VAT-induced declines in service revenue across 2Q14-2Q15, and further declines in service revenue recorded in 4Q15, when data rollover accounting resulted in circa one month of data revenue 'disappearing' from the P&L account. The latter impact makes for very easy YoY service revenue comps into 4Q16.

During the FY14-15 period, lack of clear evidence of data monetisation versus other cellular markets such as Indonesia had in our view crimped the outperformance of the China telcos versus regional peers. We expect this situation to continue to reverse as reported revenue growth in China recovers. Furthermore, as mentioned, the YoY service revenue growth rate is set to re-accelerate sharply in 4Q16 as the 4Q15 YoY comparative was affected by data rollover.

…and EBITDA grew by 4.2% YoY despite the tower sale

While the revenue figures were relatively 'clean', i.e., unaffected by government policies and accounting treatments (roaming charges are 'naturally' dying out thanks to OTT), the EBITDA trajectory was affected by the sale of China Mobile's tower assets in October 2015. Nevertheless, across 9M16 as a whole China Mobile managed to report EBITDA growth of 4.2% YoY.

Again, this constitutes a strong result, given that guidance of Rmb32.0 bn in tower rental costs across was given in the full year accounts briefing in August 2016. In fact 9M16 EBITDA was in line with our (above consensus) expectation, with the EBITDA margin on service revenue reaching 41.6% in 9M16. No additional cost details were disclosed, but with capex declining and 4G penetration having reached 57.0%, China Mobile is now emerging from the TD-LTE investment 'j-curve'.

China Mobile has already achieved 73.5%, 75.0% and 77.0% of our (above consensus) FY16 service revenue, EBITDA and net profit forecasts respectively, and our thesis of rising revenue and declining capex remains on track. With cash flows expanding, we maintain our OUTPERFORM rating.

Figure 1: China Mobile 9M16 YoY comparison

Rmb mn	**9M16A**	**9M15A**	**YoY**
Service Revenue	481,200	450,243	6.9%
Operating Revenue	542,700	512,739	5.8%
EBITDA	200,400	192,345	4.2%
EBITDA margin on service revenue (%)	41.6%	42.7%	-1.1pp
Net Profit	88,100	85,422	3.1%

Source: Company data, Credit Suisse estimates.

Companies Mentioned *(Price as of 20-Oct-2016)*

China Mobile Limited (0941.HK, HK$92.0, OUTPERFORM, TP HK$123.5)
China Telecom (0728.HK, HK$4.15)
China Unicom Hong Kong Ltd (0762.HK, HK$9.43)
China United Network Communications Ltd (600050.SS, Rmb5.3)

Disclosure Appendix

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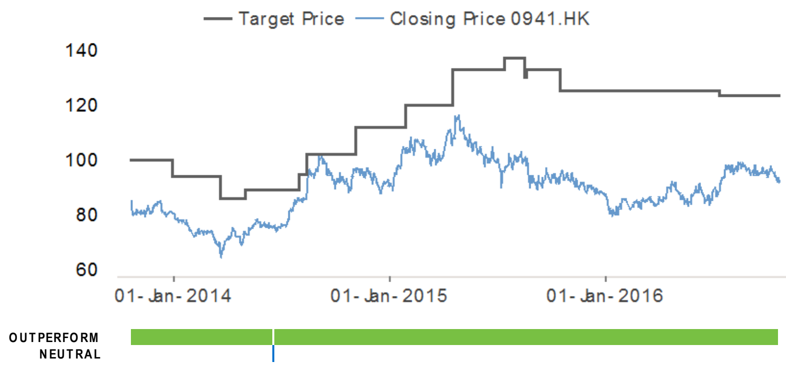
3-Year Price and Rating History for China Mobile Limited (0941.HK)

0941.HK Date	Closing Price (HK$)	Target Price (HK$)	Rating
21-Oct-13	85.05	100.00	O
30-Dec-13	80.50	94.00	
20-Mar-14	67.00	86.00	
02-May-14	73.10	89.00	
31-Jul-14	85.90	94.50	
11-Aug-14	85.65	94.50	N
14-Aug-14	88.30	102.00	O
04-Nov-14	96.65	112.00	
27-Jan-15	102.70	120.00	
17-Apr-15	107.70	133.00	
13-Jul-15	95.75	137.00	
17-Aug-15	100.90	130.00	
20-Aug-15	98.15	133.00	
15-Oct-15	93.70	125.17	
11-Jul-16	88.70	123.50	

** Asterisk signifies initiation or assumption of coverage.*



3-Year Price and Rating History for China Telecom (0728.HK)

0728.HK Date	Closing Price (HK$)	Target Price (HK$)	Rating
07-Nov-13	3.97	4.42	N
30-Dec-13	3.92	4.26	
06-Feb-14	3.53	4.26	O
02-May-14	3.98	4.70	
31-Jul-14	4.39	5.15	
04-Nov-14	4.95	5.80	
05-Jan-15	4.54	5.70	
17-Apr-15	5.46	6.70	
17-Aug-15	4.22	6.38	
15-Oct-15	4.08	7.93	
13-Apr-16	4.29	7.55	
11-Jul-16	3.59	6.85	

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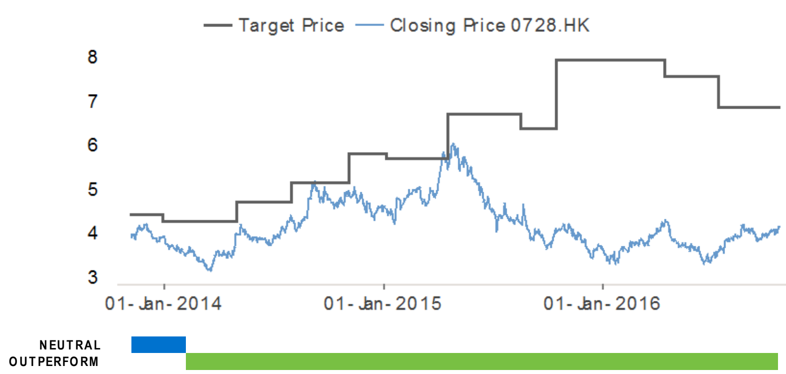

3-Year Price and Rating History for China Unicom Hong Kong Ltd (0762.HK)

0762.HK Date	Closing Price (HK$)	Target Price (HK$)	Rating
07-Nov-13	11.94	18.20	O
30-Dec-13	11.68	19.10	
28-Feb-14	10.34	18.40	
02-May-14	11.68	19.60	
31-Jul-14	13.60	20.40	
04-Nov-14	11.48	18.85	
04-Mar-15	12.20	17.80	
17-Apr-15	13.68	25.68	
25-Jun-15	12.68	24.00	
17-Aug-15	10.40	22.70	
15-Oct-15	10.54	22.38	
22-Oct-15	9.96	20.35	
13-Apr-16	9.98	19.33	
05-Jul-16	8.01	18.00	
11-Jul-16	7.88	16.00	

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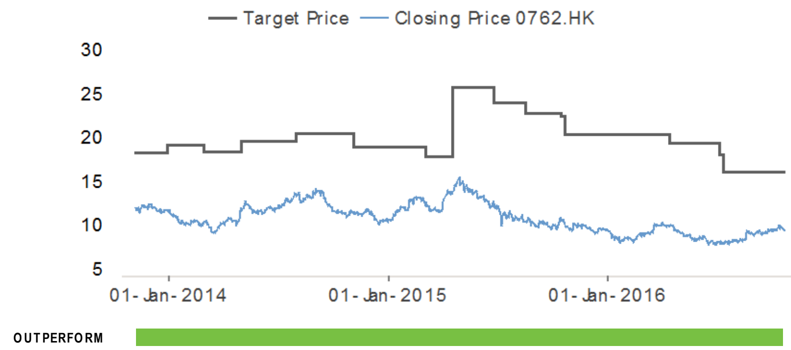

3-Year Price and Rating History for China United Network Communications Ltd (600050.SS)

600050.SS Date	Closing Price (Rmb)	Target Price (Rmb)	Rating
20-Oct-14	3.54	6.05	O *
04-Nov-14	3.72	5.60	
02-Jan-15	4.95	5.60	N
04-Mar-15	5.40	5.30	
17-Apr-15	7.07	7.69	
25-Jun-15	7.80	7.33	
17-Aug-15	7.43	7.20	
15-Oct-15	6.68	7.10	
23-Oct-15	6.96	6.28	U
25-Feb-16	4.07	6.28	O
13-Apr-16	4.44	5.98	
05-Jul-16	3.91	5.60	
11-Jul-16	3.90	5.00	
14-Oct-16	5.17	5.00	N

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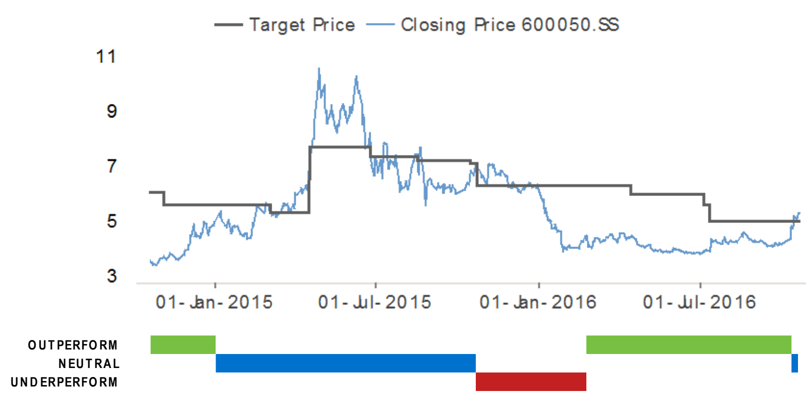

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Target Price and Rating
Valuation Methodology and Risks: (12 months) for China Mobile Limited (0941.HK)

Method: Our discounted cash flow (DCF) analysis, based on an estimated 9.7% weighted average cost of capital and a 1.5% terminal growth rate, supports a valuation of HK$123.5/share for China Mobile. At our target price of HK$123.5, China Mobile would trade at an FY16E EV/EBITDA multiple of 6.2x and a P/E of 17.9x. We rate the stock OUTPERFORM, due to the strong data monetization (tier pricing and high data volume growth).

Risk: The risks that may impede achievement of our HK$123.5 target price and OUTPERFORM rating for China Mobile are: (1) either faster-than-expected, or slower-than-expected growth in the cellular market, from the current penetration level; (2) the prospect that competitors take a larger or smaller proportion of the market share of net additions; (3) that capex forecasts prove higher or lower than expected due to competitive pressures or pressures from the regulator; and (4) that competition leads to higher or lower attrition of revenue per user than expected, for example through a price war.

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